
■ BASICS OF HUMAN RESOURCE MANAGEMENT

■ UNIT 1 - INTRODUCTION TO HUMAN RESOURCE MANAGEMENT

1 Meaning of Human Resource Management

✓ Definition

Human Resource Management (HRM) is the process of planning, acquiring, developing, motivating, compensating and retaining employees to achieve organizational goals.

☞ Simple Meaning:

HRM = Getting the right people + Training them + Motivating them + Keeping them.

■ Basic HRM Flow Diagram

Planning → Recruitment → Selection → Training
→ Performance → Compensation → Retention

Example:

A company recruits a sales executive, trains the person, fixes targets, gives incentives and provides career growth. This complete process is HRM.

2 Objectives of HRM

Main Aim: Organizational success through capable and satisfied employees.

- Right person at the right job.
- Improve employee knowledge, skill and attitude.
- Increase productivity and quality.
- Provide fair salary, incentives and benefits.
- Maintain employee motivation and job satisfaction.
- Build good employee relations.
- Reduce absenteeism and labour turnover.
- Follow legal and social responsibilities.

★ Trick to Remember: R-D-P-C-M-R-L-S = Right person, Development, Productivity, Compensation, Motivation, Relations, Low turnover, Social responsibility.

3 Nature and Features of HRM

- People-oriented: HRM deals with employees.
- Pervasive: Every manager performs HR activities.
- Continuous: HR activities continue throughout organizational life.

- Goal-oriented: It supports individual and organizational goals.
 - Development-oriented: It develops employee potential.
 - Integrative: It balances employee and organization needs.
 - Strategic: It supports long-term business plans.
 - Multidisciplinary: It uses psychology, sociology, economics and law.
- ★ Trick to Remember: P-C-G-D-I-S-M = People, Continuous, Goal, Development, Integrative, Strategic, Multidisciplinary.

4 Scope of HRM

Area	Main Activities
Procurement	HR planning, recruitment, selection, placement and induction
Development	Training, career planning and management development
Compensation	Salary, incentives, bonus and employee benefits
Integration	Motivation, communication, discipline and grievance handling
Maintenance	Health, safety, welfare and employee records
Separation	Retirement, resignation, termination and exit management

★ Trick to Remember: P-D-C-I-M-S = Procurement, Development, Compensation, Integration, Maintenance, Separation.

5 Importance of HRM

- Provides competent employees.
- Improves productivity and quality.
- Develops employee skills.
- Builds motivation and commitment.
- Reduces conflict, absenteeism and turnover.
- Creates a positive work culture.
- Supports change and technology.
- Develops future managers and leaders.
- Ensures legal compliance.
- Creates competitive advantage.

6 Functions of HRM

✓ A) Managerial Functions

- Planning: Deciding future employee requirements.
- Organizing: Dividing HR work and authority.
- Directing: Motivating and guiding employees.

- Controlling: Comparing HR results with standards.

✓ **B) Operative Functions**

- Procurement of employees.
- Training and development.
- Performance appraisal.
- Compensation and benefits.
- Employee welfare and safety.
- Employee relations.
- Separation and exit management.

★ Trick to Remember: PODC + PDCIMS = Planning, Organizing, Directing, Controlling + Procurement, Development, Compensation, Integration, Maintenance, Separation.

7 Role of HR Manager

- Strategic Partner: Aligns HR with business strategy.
- Administrative Expert: Manages policies, payroll and records.
- Employee Champion: Supports employee needs and welfare.
- Change Agent: Helps employees accept change.
- Talent Manager: Attracts, develops and retains talent.
- Compliance Officer: Ensures fair and legal practices.
- Culture Builder: Develops values, teamwork and ethics.

8 Challenges of HRM

- Globalization and multicultural workforce.
- Rapid technology, automation and artificial intelligence.
- Shortage of skilled employees.
- Remote, hybrid and gig work.
- Employee stress and mental well-being.
- Diversity, equity and inclusion.
- High employee expectations and job switching.
- Legal compliance and data privacy.
- Reskilling and continuous learning.
- Balancing labour cost with fair pay.

9 Personnel Management and HRM

Basis	Personnel Management	HRM
Focus	Employee administration	Employee capability and contribution
Approach	Traditional and reactive	Modern and proactive
View of People	Employees as cost	Employees as assets

Basis	Personnel Management	HRM
Responsibility	Personnel department	HR and line managers
Orientation	Short-term	Long-term and strategic
Development	Limited	Continuous development

Conclusion: Personnel Management is mainly administrative, while HRM is developmental and strategic.

10 HRM and HRD

Basis	HRM	HRD
Meaning	Management of people at work	Development of employee capability
Scope	Broad	Part of HRM
Coverage	Recruitment to separation	Training, career and development
Goal	Effective use of employees	Growth of knowledge, skills and potential

11 Strategic Human Resource Management

✓ Meaning

Strategic Human Resource Management (SHRM) means linking HR policies and practices with the long-term business strategy of the organization.

📖 Simple Meaning:

Business Strategy + People Strategy = SHRM

■ Strategic Alignment Diagram

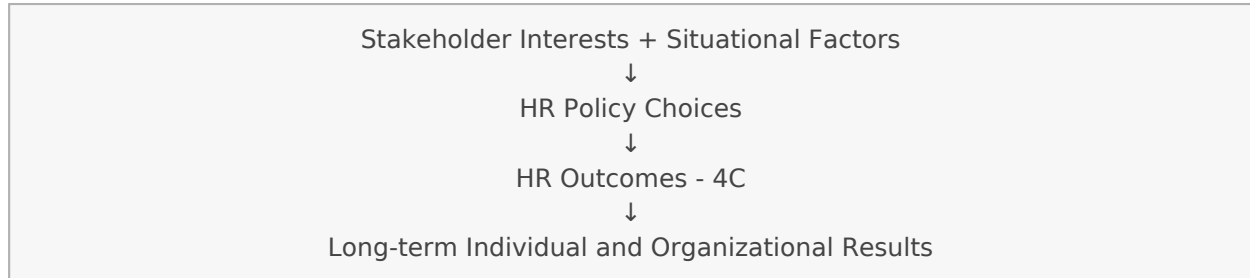


- Long-term and future-oriented.
- Proactive rather than reactive.
- Integrates all HR activities.
- Builds competitive advantage.
- Develops leadership and culture.
- Measures HR contribution to business results.

12 Harvard Model of HRM

The Harvard Model is a stakeholder-oriented and soft HRM model. It balances the interests of employees, management, government and society.

■ Harvard Model Diagram



✓ 4C Outcomes

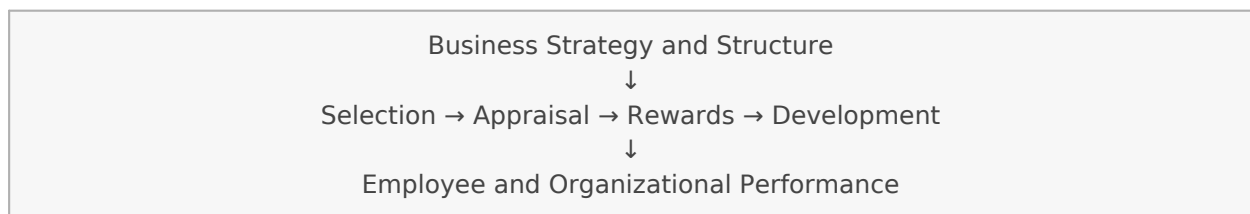
- Commitment - Employee loyalty and involvement.
- Competence - Employee knowledge and skill.
- Congruence - Agreement between employee and organizational goals.
- Cost-effectiveness - Productive use of employee cost.

★ Trick to Remember: 4C = Commitment, Competence, Congruence, Cost-effectiveness.

13 Matching Model / Michigan Model

The Matching Model states that HR systems must match the business strategy and organization structure.

■ Matching Model Diagram



★ Trick to Remember: SARD = Selection, Appraisal, Rewards, Development.

Basis	Harvard Model	Matching Model
Approach	Soft and stakeholder-oriented	Hard and performance-oriented
Focus	Balance of interests	Fit with business strategy
Main Idea	4C outcomes	Selection, appraisal, rewards, development

■ QUICK REVISION TABLE

Topic	Key Point
HRM	Get, develop, motivate and retain employees

Topic	Key Point
Objectives	Right person + productivity + satisfaction
Functions	PODC + PDCIMS
SHRM	Link HR strategy with business strategy
Harvard	Stakeholders → HR policy → 4C
Matching Model	Selection → Appraisal → Rewards → Development

☑ 2 MARKS QUESTIONS - VERY SHORT ANSWERS

Q1. What is HRM?

Answer: HRM is the process of acquiring, developing, motivating, compensating and retaining employees to achieve organizational goals.

Q2. State any two objectives of HRM.

Answer: Right person at the right job and improvement of employee productivity.

Q3. What is HRD?

Answer: HRD is the planned development of employee knowledge, skills, attitudes and potential.

Q4. What is SHRM?

Answer: SHRM is the alignment of HR policies and practices with long-term business strategy.

Q5. What are operative functions of HRM?

Answer: Procurement, development, compensation, integration, maintenance and separation.

Q6. State the 4C outcomes of the Harvard Model.

Answer: Commitment, competence, congruence and cost-effectiveness.

Q7. What is the Matching Model?

Answer: It is a model that matches selection, appraisal, rewards and development with business strategy.

Q8. Give two challenges of HRM.

Answer: Skill shortage and rapid technological change.

☑ 5 MARKS QUESTIONS - SHORT NOTES

Q1. Explain any five objectives of HRM.

Introduction: HRM aims to use employees effectively while satisfying their needs.

1. Right Person: Place suitable employees in suitable jobs.
2. Development: Improve knowledge, skill and attitude.
3. Productivity: Increase output and quality.

4. Motivation: Build satisfaction and commitment.

5. Relations: Maintain healthy employee relations.

Conclusion: HRM balances organizational performance with employee well-being.

Q2. Explain the role of the HR manager.

Introduction: The modern HR manager performs both administrative and strategic roles.

1. Strategic Partner: Connects people decisions with business goals.

2. Employee Champion: Supports employee welfare and voice.

3. Administrative Expert: Ensures efficient HR systems.

4. Change Agent: Supports restructuring and technology.

5. Talent Manager: Attracts, develops and retains talent.

Conclusion: The HR manager is a business partner as well as an employee-support professional.

Q3. Explain the importance of SHRM.

Introduction: SHRM ensures that the workforce supports long-term strategy.

1. Future Skills: Identifies future capability requirements.

2. Integration: Aligns recruitment, training and rewards.

3. Competitive Advantage: Builds unique employee capability.

4. Change Support: Develops leadership and culture.

5. Measurement: Connects HR outcomes with business results.

Conclusion: SHRM turns HR from a support function into a strategic partner.

☑ 10/15 MARKS QUESTIONS - DETAILED ANSWERS

◆ Q1. Define HRM and explain its objectives and functions.

Introduction: Human resources are the most important active resources of an organization. HRM ensures their proper acquisition, development and utilization.

Definition: HRM is the process of planning, acquiring, developing, motivating, compensating and retaining employees for achieving individual and organizational goals.

■ Answer Diagram

HR Planning → Recruitment → Selection → Training
→ Performance → Compensation → Retention

1. Right Person at Right Job

HRM identifies manpower needs and selects suitable candidates.

2. Employee Development

Training and career development improve capability.

3. Productivity

Performance standards and motivation improve output.

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4. Fair Compensation
Salary, incentives and benefits reward contribution.
 5. Employee Satisfaction
Participation, communication and welfare build satisfaction.
 6. Planning
Forecasting future human resource needs.
 7. Organizing
Defining HR roles, authority and responsibility.
 8. Directing
Motivating, guiding and communicating with employees.
 9. Controlling
Evaluating HR results and taking corrective action.
 10. Operative Functions
Procurement, development, compensation, integration, maintenance and separation.

Example: An IT company plans workforce needs, recruits graduates, trains them, evaluates performance and provides incentives.

Conclusion: Thus, HRM converts employee capability into organizational performance.

◆ Q2. Explain SHRM and the Harvard and Matching Models.

Introduction: Modern organizations need HR decisions that directly support long-term business goals.

Definition: SHRM is the planned alignment of HR systems with organizational strategy.

1. Strategic Alignment
HR priorities are derived from business strategy.
2. Long-term Focus
SHRM prepares future skills and leadership.
3. Integration
All HR practices support the same goals.
4. Harvard Model
Stakeholder interests and situational factors influence HR policies.
5. Harvard Outcomes
The model focuses on commitment, competence, congruence and cost-effectiveness.
6. Matching Model
Selection, appraisal, rewards and development are matched with strategy.
7. Difference
Harvard is broad and stakeholder-oriented; Matching is performance and fit-oriented.

Example: A bank using digital strategy recruits technology talent, reskills employees and rewards digital performance.

Conclusion: SHRM and its models show that people management is central to business strategy.

★ HIGH PROBABILITY QUESTIONS

1. Meaning, nature, scope and objectives of HRM.
2. Functions of HRM.
3. Role and challenges of HR manager.
4. Personnel Management vs HRM.
5. HRM vs HRD.
6. SHRM and its importance.
7. Harvard Model and Matching Model.

■ UNIT 2 - HUMAN RESOURCE PLANNING, RECRUITMENT AND RETENTION

1 Human Resource Planning

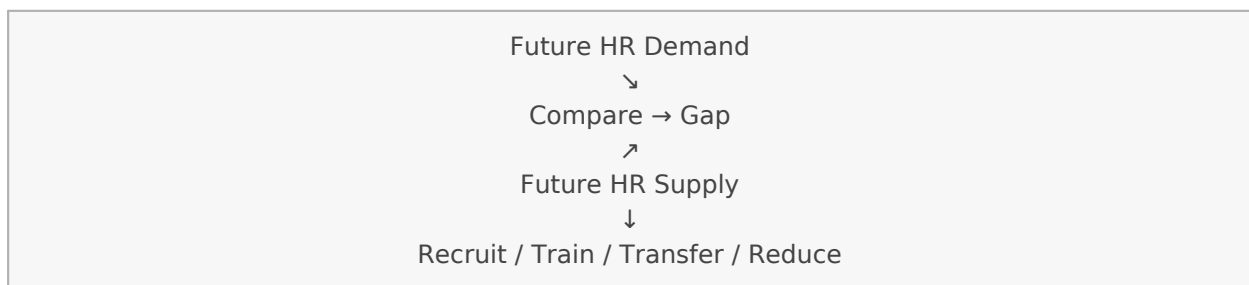
✓ Definition

Human Resource Planning (HRP) is the process of forecasting future demand and supply of employees and preparing plans to remove shortages or surpluses.

📖 Simple Meaning:

How many employees? What skills? At what place? At what time?

■ HRP Diagram



2 Objectives and Importance of HRP

- Ensure right number and type of employees.
- Avoid employee shortage and surplus.
- Support expansion and technology plans.
- Estimate recruitment and training needs.
- Prepare succession and replacement plans.
- Control labour cost.
- Improve use of existing employees.
- Manage retirement and employee turnover.

3 Human Resource Planning Process

1. Study Organizational Objectives: Understand future business plans.
2. Analyze Present Workforce: Study employee number, skills and experience.
3. Forecast HR Demand: Estimate future employee requirements.
4. Forecast HR Supply: Estimate internal and external availability.
5. Identify Gap: Find shortage or surplus.
6. Prepare Action Plan: Recruitment, training, transfer or reduction.
7. Implement the Plan.
8. Review and Control.

★ Trick to Remember: O-I-D-S-G-A-I-R = Objectives, Inventory, Demand, Supply, Gap, Action, Implement, Review.

4 Barriers to Effective HRP

- Uncertain business environment.
 - Inaccurate employee data.
 - Lack of top management support.
 - Poor coordination with line managers.
 - Rapid technological changes.
 - Employee resistance.
 - Difficulty in forecasting turnover.
 - Overemphasis on numbers only.
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5 Job Analysis

✓ Definition

Job Analysis is the systematic study of job duties, responsibilities, working conditions and human requirements.

📌 Important: Job analysis studies the job, not the employee.

■ Outputs of Job Analysis

Job Analysis
├─ Job Description = What the job contains
└─ Job Specification = What the employee must possess

6 Job Analysis Process and Methods

✓ Process

1. Decide the purpose of job analysis.
2. Select jobs to be studied.
3. Collect background information.
4. Choose data collection method.
5. Collect job information.
6. Verify the information.
7. Prepare job description and job specification.
8. Update when the job changes.

✓ Methods

- Observation method.
- Interview method.
- Questionnaire method.
- Employee diary or log.
- Technical conference.
- Critical incident method.

★ Trick to Remember: O-I-Q-D-T-C = Observation, Interview, Questionnaire, Diary, Technical conference, Critical incident.

7 Job Description and Job Specification

Basis	Job Description	Job Specification
Meaning	Written statement of job content	Statement of human requirements
Focus	What is done?	Who can do it?
Includes	Duties, responsibilities and conditions	Education, skill, experience and traits
Use	Role clarity and appraisal	Recruitment and selection

8 Job Design

Job Design means arranging tasks, duties and responsibilities to make a job productive and meaningful.

Technique	Meaning
Job Simplification	Dividing work into small standard tasks
Job Rotation	Moving employees among different jobs
Job Enlargement	Adding more tasks at the same level
Job Enrichment	Adding more authority and responsibility
Autonomous Team	A team manages a complete work process

★ Trick to Remember: S-R-L-E-A = Simplification, Rotation, Enlargement, Enrichment, Autonomous team.

9 Job Enlargement and Job Enrichment

Basis	Job Enlargement	Job Enrichment
Meaning	Adds more tasks	Adds more authority and responsibility
Expansion	Horizontal	Vertical
Aim	Reduce monotony	Increase motivation
Example	Cashier also handles returns	Cashier also plans counter schedule

10 Recruitment

✓ **Meaning**

Recruitment is the process of searching for and attracting qualified candidates for vacant jobs.

☞ Simple Meaning: Recruitment creates a pool of applicants.

■ Recruitment Process

Vacancy → Job Requirements → Source Selection
→ Advertisement → Applications → Screening

✓ Internal Sources

- Promotion.
- Transfer.
- Internal job posting.
- Employee database.
- Former employees.

✓ External Sources

- Campus recruitment.
- Job portals and company website.
- Advertisements and social media.
- Consultants and agencies.
- Employee referrals.
- Walk-ins.

11 Internal and External Recruitment

Basis	Internal Recruitment	External Recruitment
Cost	Lower	Higher
Time	Faster	Slower
Employee Motivation	Improves	May disappoint insiders
New Ideas	Limited	More
Risk	Candidate is known	More uncertainty
Choice	Limited pool	Wider pool

12 Selection

✓ Meaning

Selection is the process of evaluating applicants and choosing the most suitable candidate for the job.

☞ Simple Meaning: Recruitment attracts; selection chooses.

✓ Selection Process

1. Preliminary screening.
2. Application form and resume review.

3. Employment tests.
4. Selection interview.
5. Reference and background check.
6. Medical examination where required.
7. Final selection decision.
8. Job offer and appointment.
9. Placement and induction.

★ Trick to Remember: S-A-T-I-R-M-F-O-P = Screening, Application, Test, Interview, Reference, Medical, Final, Offer, Placement.

13 Selection Tests and Interviews

✓ Selection Tests

- Ability and aptitude test.
- Job knowledge test.
- Personality test.
- Interest test.
- Integrity test.
- Work sample and simulation.
- Assessment centre.

✓ Types of Interview

- Structured interview.
- Unstructured interview.
- Panel interview.
- Behavioural interview.
- Situational interview.
- Stress interview.
- Online or video interview.

14 Recruitment and Selection

Basis	Recruitment	Selection
Meaning	Attracting applicants	Choosing the best applicant
Nature	Positive process	Screening process
Sequence	Comes first	Comes after recruitment
Objective	Large pool	Best fit
Result	Applications	Appointment

15 Induction and Orientation

Induction introduces a new employee to the organization, its culture, policies and people.

Orientation familiarizes the employee with the immediate job, workplace, supervisor and team.

- Reduces employee anxiety.
- Improves role clarity.
- Reduces early turnover.
- Improves safety and productivity.
- Creates a positive first impression.

16 Career Planning and Succession Planning

Career Planning identifies employee career goals and the path to achieve them.

■ Career Planning Process

Self-Assessment → Opportunities → Goal Setting
→ Development Plan → Implementation → Review

Succession Planning identifies critical positions and prepares suitable employees to fill them in the future.

1. Identify critical positions.
2. Define required competencies.
3. Assess available talent.
4. Identify possible successors.
5. Prepare development plans.
6. Review readiness regularly.

17 Transfer and Promotion

Basis	Transfer	Promotion
Level	Same or similar level	Higher level
Responsibility	Usually similar	Greater
Pay and Status	Little change	Usually increases
Purpose	Adjustment and development	Career growth and reward

18 Employee Retention

✓ Meaning

Employee Retention means keeping valuable employees willing and motivated to continue with the organization.

✓ Reasons Employees Leave

- Unfair pay.

- Poor supervisor.
- No career growth.
- Work overload and stress.
- Lack of recognition.
- Unhealthy culture.
- Better job opportunity.
- Poor work-life balance.

✓ **Retention Strategies**

- Fair salary and benefits.
- Career growth and learning.
- Supportive leadership.
- Recognition and rewards.
- Flexible work and well-being.
- Employee participation.
- Fair performance management.
- Strong induction and job fit.

★ Trick to Remember: PAY-GROW-SUPPORT-RECOGNIZE-FLEX.

■ **QUICK REVISION TABLE**

Topic	Key Point
HRP	Forecast employee demand and supply
Job Analysis	Produces job description and specification
Job Enlargement	More tasks at same level
Job Enrichment	More authority and responsibility
Recruitment	Attract candidates
Selection	Choose best candidate
Induction	Introduce new employee
Retention	Keep valuable employees

☑ **2 MARKS QUESTIONS - VERY SHORT ANSWERS**

Q1. Define HRP.

Answer: HRP is the process of forecasting future demand and supply of employees and preparing suitable action plans.

Q2. What is job analysis?

Answer: Job analysis is the systematic study of job duties, responsibilities, conditions and human requirements.

Q3. What is job description?

Answer: It is a written statement of job duties, responsibilities, reporting and working conditions.

Q4. What is job specification?

Answer: It is a statement of education, experience, skill and personal qualities required for a job.

Q5. What is recruitment?

Answer: Recruitment is the process of attracting qualified candidates for vacancies.

Q6. What is selection?

Answer: Selection is the process of choosing the most suitable candidate from applicants.

Q7. What is induction?

Answer: Induction introduces a new employee to the organization, culture and policies.

Q8. What is employee retention?

Answer: Retention is the organization's ability and effort to keep valuable employees.

☑ 5 MARKS QUESTIONS - SHORT NOTES

Q1. Explain the HRP process.

Introduction: HRP balances future employee demand and supply.

1. Objectives: Study business plans.
2. Inventory: Analyze present employees.
3. Demand: Estimate employees required.
4. Supply: Estimate employee availability.
5. Action: Recruit, train, transfer or reduce.

★ Trick to Remember: O-I-D-S-G-A-I-R

Conclusion: Regular review makes HRP realistic and useful.

Q2. Explain sources of recruitment.

Introduction: Recruitment sources may be internal or external.

1. Promotion: Fill a higher vacancy internally.
2. Transfer: Move an employee to another job.
3. Campus: Recruit students from institutions.
4. Job Portals: Advertise and receive applications online.
5. Referrals: Employees recommend candidates.

Conclusion: A suitable mix of sources improves cost, speed and quality.

Q3. Explain employee retention strategies.

Introduction: Retention reduces avoidable employee turnover.

1. Fair Pay: Provide competitive salary and benefits.

2. Career Growth: Offer learning and promotion.
3. Good Manager: Build supportive leadership.
4. Recognition: Appreciate contribution.
5. Flexibility: Support work-life balance.

Conclusion: Retention improves continuity, morale and productivity.

☑ 10/15 MARKS QUESTIONS - DETAILED ANSWERS

◆ Q1. Explain Human Resource Planning and its process.

Introduction: Organizations need employees in the correct number and with the correct skills. HRP provides this balance.

Definition: HRP is the process of forecasting future human resource demand and supply and preparing action plans to correct gaps.

■ Answer Diagram

Business Plan → Current Workforce → Demand Forecast
→ Supply Forecast → Gap → Action → Review

1. Study Business Objectives
Understand expansion, technology and productivity plans.
2. Analyze Current Workforce
Prepare employee and skill inventory.
3. Forecast Demand
Estimate number and type of employees needed.
4. Forecast Supply
Estimate internal and external availability.
5. Gap Analysis
Identify shortage, surplus and skill gaps.
6. Action Plans
Recruit, train, transfer, redeploy, outsource or reduce.
7. Implementation
Fix responsibility, budget and schedule.
8. Review
Compare results and update the plan.

Example: A retail chain planning 20 new stores forecasts managers and sales staff before expansion.

Conclusion: Effective HRP avoids disruption and supports business growth.

◆ Q2. Explain job analysis, job description and job specification.

Introduction: Accurate job information is the foundation of recruitment, training, appraisal and compensation.

Definition: Job analysis systematically collects information about job duties, responsibilities, conditions and human requirements.

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1. Purpose
Decide why and which jobs will be analyzed.
 2. Methods
Use observation, interview, questionnaire, diary and critical incidents.
 3. Verification
Confirm information with employee and supervisor.
 4. Job Description
Includes title, duties, responsibilities, reporting and working conditions.
 5. Job Specification
Includes education, experience, skill, ability and personal qualities.
 6. Uses
Supports planning, recruitment, selection, training, appraisal and job evaluation.
 7. Updating
Revise documents when technology or work changes.

Example: For a customer-service job, the description lists complaint handling; the specification lists communication skill and product knowledge.

Conclusion: Job description explains the job, while job specification explains the required person.

◆ Q3. Explain recruitment and selection processes and distinguish between them.

Introduction: Recruitment and selection together ensure that vacancies are filled by suitable employees.

Definition: Recruitment attracts candidates; selection evaluates them and appoints the best fit.

1. Vacancy Identification
Confirm the need and job requirements.
2. Source Selection
Choose internal or external recruitment sources.
3. Advertisement
Communicate vacancy clearly.
4. Screening
Remove unsuitable applications.
5. Tests
Measure ability, knowledge, personality or work skill.
6. Interview
Assess job suitability and behaviour.
7. Verification
Check references, background and medical fitness where required.
8. Final Offer
Select the best candidate and issue appointment.
9. Induction
Introduce the new employee to the organization.

Example: A manufacturing company may use a trade test and structured interview before appointing a machine operator.

Conclusion: Recruitment builds the pool; selection makes the final choice.

★ HIGH PROBABILITY QUESTIONS

1. HRP meaning, importance and process.
2. Job analysis process, methods and uses.
3. Job description vs job specification.
4. Job enlargement vs job enrichment.
5. Sources of recruitment.
6. Selection process and tests.
7. Recruitment vs selection.
8. Career and succession planning.
9. Employee retention strategies.

■ UNIT 3 - PERFORMANCE MANAGEMENT, TRAINING AND DEVELOPMENT

1 Performance Appraisal

✓ Definition

Performance Appraisal is the systematic and periodic evaluation of an employee's past performance against predetermined standards.

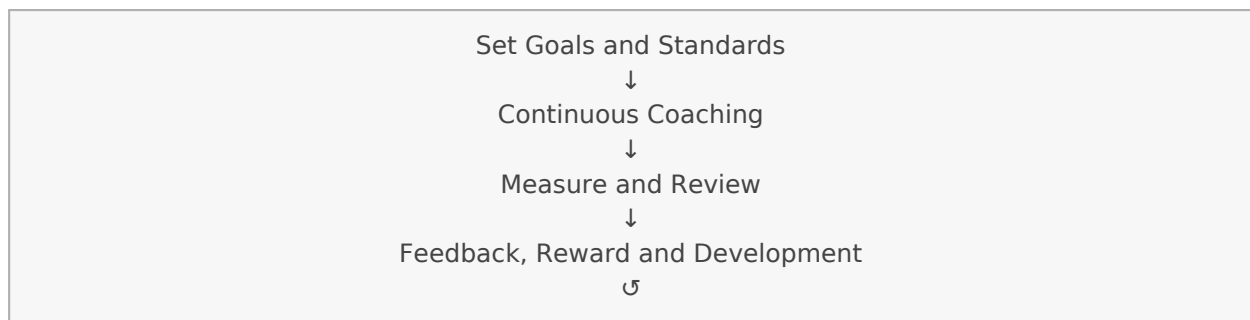
📖 Simple Meaning: It measures how well an employee performed.

2 Performance Management

Performance Management is a continuous process of setting goals, coaching, reviewing performance and developing employees.

📖 Simple Meaning: Plan + Perform + Review + Improve.

■ Performance Management Cycle



3 Objectives of Performance Appraisal

- Measure employee performance.
 - Provide feedback.
 - Identify training needs.
 - Support promotion and transfer decisions.
 - Provide a basis for incentives.
 - Correct poor performance.
 - Improve manager-employee communication.
 - Support career and succession planning.
 - Align employee goals with organizational goals.
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4 Performance Appraisal Process

1. Set performance standards.
2. Communicate standards.
3. Select appraisal method.
4. Measure actual performance.

5. Compare with standards.
6. Discuss performance with employee.
7. Take reward or improvement action.
8. Follow up.

★ Trick to Remember: S-C-M-M-C-D-A-F = Standards, Communicate, Method, Measure, Compare, Discuss, Action, Follow-up.

5 Traditional Performance Appraisal Methods

Method	Meaning
Ranking	Employees are ranked from best to worst
Paired Comparison	Each employee is compared with every other employee
Graphic Rating Scale	Employee is rated on a numerical scale
Checklist	Rater marks suitable statements
Critical Incident	Important effective and ineffective behaviour is recorded
Confidential Report	Supervisor prepares a private performance report
Essay Method	Supervisor writes a descriptive evaluation

6 Modern Performance Appraisal Methods

Method	Meaning
MBO	Manager and employee jointly set measurable objectives
BARS	Rating scale supported by specific job behaviours
360-Degree Feedback	Feedback from boss, peers, subordinates, customers and self
Assessment Centre	Simulations and exercises assess managerial ability
Balanced Scorecard	Financial, customer, process and learning measures
Psychological Appraisal	Measures future intellectual and emotional potential

★ Trick to Remember: M-B-360-A-B-P = MBO, BARS, 360, Assessment centre, Balanced scorecard, Psychological appraisal.

7 Errors in Performance Appraisal

Error	Meaning
Halo Effect	One positive quality influences all ratings
Horn Effect	One negative quality lowers all ratings
Leniency	All employees receive high ratings
Strictness	All employees receive low ratings
Central Tendency	Most employees are rated average
Recency Effect	Recent performance receives too much importance
Similarity Bias	Rater favours employees similar to self
Contrast Error	Employee is compared with another employee

✓ Ways to Reduce Errors

- Clear job standards.
- Rater training.
- Multiple feedback sources.
- Year-round performance records.
- Calibration meetings.
- Appeal mechanism.

8 Performance Appraisal and Performance Management

Basis	Performance Appraisal	Performance Management
Nature	Periodic event	Continuous process
Focus	Past performance	Present and future improvement
Purpose	Evaluation	Goal, coaching and development
Frequency	Annual or half-yearly	Regular and ongoing
Responsibility	Mainly manager and HR	Manager and employee jointly

9 Potential Appraisal

Potential Appraisal evaluates an employee's ability to perform higher or different responsibilities in the future.

📖 Difference: Performance = What employee did. Potential = What employee can do in future.

- Supports succession planning.
- Identifies future leaders.
- Supports promotion decisions.
- Plans career development.

- Identifies hidden talent.

10 Training and Development

Training improves employee knowledge and skill for the current job.

Development prepares employees for future responsibilities and overall growth.

Basis	Training	Development
Focus	Current job	Future roles
Time	Short-term	Long-term
Content	Specific job skill	Broad leadership and conceptual ability
Result	Immediate performance	Future capability

11 Objectives and Importance of Training

- Improve knowledge and skill.
- Increase productivity and quality.
- Reduce errors and accidents.
- Help employees use new technology.
- Support organizational change.
- Prepare employees for promotion.
- Improve confidence and morale.
- Reduce need for close supervision.
- Improve customer service.

12 Training and Development Process

■ Training Cycle



★ Trick to Remember: N-O-D-D-E-A = Need, Objectives, Design, Delivery, Evaluation, Application.

13 Training Need Assessment

Level	Main Question	Examples
Organizational	Where is training needed?	Strategy, productivity, technology
Task / Job	What must be learned?	Duties, standards and competencies
Person	Who needs training?	Performance gaps and tests

★ Trick to Remember: O-T-P = Organization, Task, Person.

14 On-the-Job Training Methods

- Coaching: Supervisor guides the employee during work.
- Mentoring: Experienced person supports long-term growth.
- Job Rotation: Employee moves among jobs.
- Apprenticeship: Practical learning under an expert.
- Understudy: Employee learns as a replacement.
- Internship: Supervised practical experience.
- Demonstration: Trainer shows the correct work method.

★ Trick to Remember: C-M-R-A-U-I-D = Coaching, Mentoring, Rotation, Apprenticeship, Understudy, Internship, Demonstration.

15 Off-the-Job Training Methods

- Lecture.
- Case study.
- Role play.
- Simulation.
- Vestibule training.
- Management games.
- Conference and workshop.
- Programmed instruction.
- E-learning.

★ Trick to Remember: L-C-R-S-V-M-C-P-E.

16 E-Learning

E-learning uses digital technology to deliver and track learning through online courses, videos, virtual classrooms and learning platforms.

✓ Advantages

- Anytime-anywhere learning.
- Cost-effective for large groups.

- Consistent content.
- Self-paced learning.
- Easy tracking and assessment.

✓ **Limitations**

- Needs technology and digital skills.
- Less personal interaction.
- Possible distraction.
- Not suitable for every practical skill.

17 Kirkpatrick Model of Training Evaluation

■ Kirkpatrick Four-Level Model

Level 4 - Results: Business impact
 Level 3 - Behaviour: Use on the job
 Level 2 - Learning: Knowledge and skill gained
 Level 1 - Reaction: Participant satisfaction

Level	What is Measured	Method
Reaction	Satisfaction and relevance	Feedback form
Learning	Knowledge or skill gained	Pre-test and post-test
Behaviour	Application on the job	Observation and manager review
Results	Productivity, quality, cost or sales	Business measures

★ Trick to Remember: R-L-B-R = Reaction, Learning, Behaviour, Results.

■ QUICK REVISION TABLE

Topic	Key Point
Appraisal	Periodic evaluation of past performance
Performance Management	Continuous goal and improvement cycle
Modern Methods	MBO, BARS, 360-degree, assessment centre
Potential	Future capability
Training	Current job
Development	Future role
TNA	Organization, Task, Person
Kirkpatrick	Reaction, Learning, Behaviour, Results

✓ 2 MARKS QUESTIONS - VERY SHORT ANSWERS

Q1. Define performance appraisal.

Answer: It is the systematic and periodic evaluation of employee performance against standards.

Q2. Define performance management.

Answer: It is a continuous process of setting goals, coaching, reviewing and developing employee performance.

Q3. What is MBO?

Answer: Management by Objectives is a method in which manager and employee jointly set measurable goals.

Q4. What is 360-degree feedback?

Answer: It is feedback collected from boss, peers, subordinates, customers and self.

Q5. What is potential appraisal?

Answer: It evaluates an employee's capability for higher or different future responsibilities.

Q6. Define training.

Answer: Training is a planned effort to improve knowledge, skill and behaviour for the current job.

Q7. What is TNA?

Answer: Training Need Assessment identifies where, what and who requires training.

Q8. State Kirkpatrick's four levels.

Answer: Reaction, learning, behaviour and results.

☒ **5 MARKS QUESTIONS - SHORT NOTES**

Q1. Explain the performance appraisal process.

Introduction: Performance appraisal compares actual performance with planned standards.

1. Standards: Set job-related expectations.
2. Communication: Explain standards to employees.
3. Measurement: Collect performance evidence.
4. Comparison: Compare actual performance with standards.
5. Discussion and Action: Give feedback and decide improvement or reward.

★ Trick to Remember: S-C-M-M-C-D-A-F

Conclusion: Follow-up ensures that the appraisal produces improvement.

Q2. Explain appraisal errors.

Introduction: Appraisal errors reduce fairness and accuracy.

1. Halo: One positive quality affects all ratings.
2. Horn: One negative quality affects all ratings.

3. Leniency or Strictness: Ratings are too high or too low.
4. Central Tendency: Most employees are rated average.
5. Recency: Recent events receive excessive weight.

Conclusion: Clear standards and trained raters reduce these errors.

Q3. Explain on-the-job training methods.

Introduction: On-the-job methods provide learning during actual work.

1. Coaching: Supervisor gives guidance.
2. Mentoring: Experienced person supports growth.
3. Rotation: Employee learns different jobs.
4. Apprenticeship: Practical learning under an expert.
5. Understudy: Employee learns as a future replacement.

Conclusion: These methods provide practical and immediate learning.

☑ 10/15 MARKS QUESTIONS - DETAILED ANSWERS

◆ Q1. Explain performance appraisal process and methods.

Introduction: Performance appraisal measures employee contribution and provides a basis for feedback, reward and development.

Definition: It is the systematic and periodic evaluation of employee performance against predetermined standards.

1. Set Standards
Define expected results and behaviours.
2. Communicate Standards
Ensure employee understanding.
3. Measure Performance
Use records, observation and results.
4. Compare
Identify performance gaps.
5. Appraisal Discussion
Conduct a two-way review.
6. Corrective or Reward Action
Decide training, recognition or improvement plan.
7. Traditional Methods
Ranking, rating scale, checklist and critical incident.
8. Modern Methods
MBO, BARS, 360-degree feedback and assessment centre.
9. Control Errors
Use clear standards, rater training and multiple sources.

Example: A sales manager compares achievement, customer service and teamwork with agreed targets.

Conclusion: A fair appraisal system should improve performance, not only give a score.

◆ Q2. Explain training and development process and methods.

Introduction: Employee capability must be continuously improved to match technology and business change.

Definition: Training improves current-job performance, while development prepares employees for future responsibilities.

■ Answer Diagram

TNA → Objectives → Design → Delivery
→ Evaluation → Application

1. Need Assessment
Analyze organization, job and person gaps.
2. Objectives
Set measurable learning outcomes.
3. Design
Select content, method, trainer and schedule.
4. Delivery
Conduct training with practice and participation.
5. On-the-Job Methods
Coaching, mentoring, rotation and apprenticeship.
6. Off-the-Job Methods
Lecture, case, role play, simulation and e-learning.
7. Evaluation
Measure reaction, learning, behaviour and results.
8. Transfer to Work
Provide supervisor support and follow-up.

Example: A bank trains employees on digital banking through e-learning and supervised practice.

Conclusion: Training creates value only when learning improves workplace behaviour and results.

◆ Q3. Explain the Kirkpatrick Model.

Introduction: Training must be evaluated to determine whether it created useful learning and business improvement.

Definition: The Kirkpatrick Model evaluates training at four levels.

1. Reaction
Measures participant satisfaction and relevance.
2. Learning
Measures knowledge, skill and attitude gained.
3. Behaviour
Checks application of learning on the job.
4. Results
Measures productivity, quality, sales, cost, safety or retention impact.

5. Use

Training objectives and measures should be decided before delivery.

6. Caution

Business results may also be affected by factors other than training.

Example: After safety training, the company may measure learner scores, safe behaviour and reduction in accidents.

Conclusion: The model moves evaluation from participant satisfaction to organizational results.

★ HIGH PROBABILITY QUESTIONS

1. Performance appraisal objectives and process.
2. Traditional and modern appraisal methods.
3. Appraisal errors and remedies.
4. Performance appraisal vs performance management.
5. Potential appraisal.
6. Training vs development.
7. Training process and methods.
8. TNA.
9. Kirkpatrick Model.
10. E-learning advantages and limitations.

■ UNIT 4 - COMPENSATION, SEPARATION, DISCIPLINE AND GRIEVANCE

1 Meaning of Compensation

✓ Definition

Compensation is the total financial and non-financial return given to employees for their work and contribution.

📖 Simple Meaning:

Compensation = Salary + Incentives + Benefits + Recognition.

■ Total Compensation

Direct Pay: Salary, bonus and incentive
+
Indirect Pay: Insurance, leave and retirement benefits
+
Non-Financial Rewards: Recognition, growth and good work environment

2 Objectives of Compensation Management

- Attract qualified employees.
- Retain capable employees.
- Motivate performance.
- Ensure internal and external equity.
- Follow legal requirements.
- Control labour cost.
- Reward skill and responsibility.
- Support business strategy.
- Build employee satisfaction.

★ Trick to Remember: A-R-M-E-L-C-S-S = Attract, Retain, Motivate, Equity, Legal, Cost, Skill, Strategy.

3 Principles of Sound Compensation

- Internal Equity: Similar jobs receive similar pay.
 - External Competitiveness: Pay is reasonable compared with the market.
 - Individual Equity: Differences reflect performance or skill.
 - Legal Compliance.
 - Affordability.
 - Transparency.
 - Consistency and Timeliness.
-

4 Compensation Management Process

1. Decide compensation philosophy.
2. Conduct job analysis.
3. Evaluate jobs.
4. Study market salary through wage survey.
5. Create pay grades and salary ranges.
6. Design incentives and benefits.
7. Communicate and implement.
8. Review fairness, cost and effectiveness.

★ Trick to Remember: P-A-E-S-S-I-C-R = Philosophy, Analysis, Evaluation, Survey, Structure, Incentives, Communicate, Review.

5 Factors Affecting Compensation

Internal Factors	External Factors
Ability to pay	Labour demand and supply
Job value and responsibility	Industry wage level
Employee performance and skill	Cost of living and inflation
Compensation policy	Government policy and labour law
Productivity	Trade unions
Business strategy	Economic conditions

6 Components of Salary

Component	Meaning
Basic Salary	Core fixed pay
Dearness Allowance	Support against cost-of-living changes
House Rent Allowance	Support toward housing cost
Other Allowances	Travel, shift, education or special allowance
Bonus	Additional payment based on law, profit or performance
Incentive	Variable payment linked with results
Benefits	Insurance, leave, retirement and welfare
Deductions	Authorized tax or employee contributions

7 Wage and Salary Differentials

Wage Differential means a difference in pay between jobs, employees, industries, regions or skill groups.

- Difference in skill and education.
- Job difficulty and responsibility.
- Performance and productivity.
- Scarcity of labour.
- Industry and region.
- Risk and working conditions.
- Experience and length of service.

8 Incentives

Incentive is an additional reward linked with performance, productivity or desired behaviour.

Financial Incentives	Non-Financial Incentives
Piece rate	Recognition and praise
Sales commission	Promotion
Performance bonus	Job enrichment
Profit sharing	Participation in decisions
Gain sharing	Flexible work
Stock options	Learning opportunity
Team incentive	Awards and status

✓ Features of Good Incentive Plan

- Clear link with performance.
- Measurable standards.
- Fair opportunity.
- Simple and understandable.
- Timely reward.
- No sacrifice of quality or safety.

9 Fringe Benefits

Fringe Benefits are indirect benefits and services provided in addition to direct salary or wages.

- Health and accident insurance.
- Paid leave and holidays.
- Retirement and provident benefits.
- Gratuity or terminal benefits.
- Canteen, transport and housing support.
- Education and childcare support.
- Wellness and employee assistance programmes.

10 Current Trends in Compensation

- Performance-linked pay.
- Skill and competency-based pay.
- Team incentives.
- Total rewards approach.
- Flexible benefits.
- Employee stock ownership.
- Spot awards and digital recognition.
- Pay transparency and equity analysis.
- Well-being and flexibility as reward elements.

11 Employee Separation

Employee Separation is the ending of the employment relationship between an employee and the organization.

Form	Meaning
Resignation	Employee voluntarily leaves
Retirement	Employment ends after retirement age or service
VRS	Voluntary early retirement with benefits
Termination	Employer ends employment
Dismissal	Removal as disciplinary punishment
Layoff	Temporary inability to provide work
Retrenchment	Reduction of surplus workforce
End of Contract	Fixed-term employment ends

12 VRS and Golden Handshake

Voluntary Retirement Scheme (VRS) allows eligible employees to retire before normal retirement in return for specified benefits.

Golden Handshake is an attractive financial package offered for voluntary early separation.

✓ Objectives

- Reduce surplus employees.
- Support restructuring.
- Reduce long-term employee cost.
- Avoid compulsory separation.

✓ Problems

- Loss of experienced employees.
- Low morale of remaining employees.
- High immediate cost.
- Good performers may leave.

13 Suspension

Suspension temporarily stops an employee from performing duties, generally during investigation or disciplinary proceedings. It is not the same as termination.

- Written reason.
 - Fair inquiry.
 - Opportunity to explain.
 - Confidentiality.
 - No unnecessary delay.
-

14 Discipline

Discipline means orderly behaviour and compliance with organizational rules and standards.

Positive Discipline	Negative Discipline
Encourages self-control	Uses fear and punishment
Uses counselling and correction	Uses warnings and penalties
Focuses on improvement	Focuses on offence
Builds commitment	May create resentment

✓ Principles of Disciplinary Action

- Clear rules.
 - Prompt and impartial investigation.
 - Opportunity to explain.
 - Consistency.
 - Proportionate punishment.
 - Proper records.
 - Right to appeal.
-

15 Employee Grievance

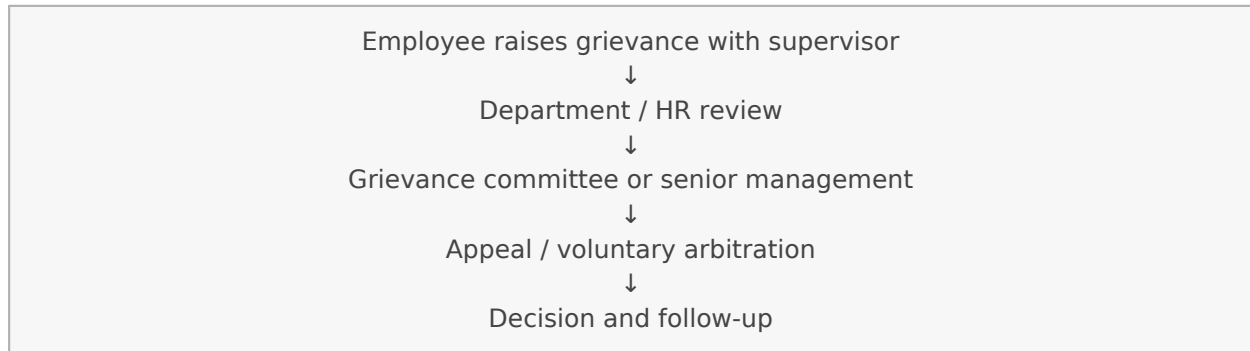
Grievance is an employee's feeling or complaint of dissatisfaction related to employment.

✓ Common Causes

- Pay and benefits.
 - Supervisor behaviour.
 - Workload and shift.
 - Promotion or transfer.
 - Leave and attendance.
 - Unfair treatment.
 - Safety and working conditions.
 - Disciplinary action.
-

16 Grievance Redressal Procedure

■ Grievance Procedure



✓ Essentials

- Simple and accessible.
- Time-bound.
- Fair and confidential.
- Written records.
- No retaliation.
- Appeal opportunity.
- Follow-up.

■ QUICK REVISION TABLE

Topic	Key Point
Compensation	Salary + incentives + benefits + recognition
Equity	Internal, external and individual fairness
Incentive	Reward linked with performance
Fringe Benefit	Indirect benefit in addition to salary
Separation	End of employment relationship
VRS	Voluntary early retirement with package
Discipline	Orderly behaviour and rule compliance
Grievance	Employee dissatisfaction requiring solution

☑ 2 MARKS QUESTIONS - VERY SHORT ANSWERS

Q1. Define compensation.

Answer: Compensation is the total financial and non-financial return provided to employees for their contribution.

Q2. What is an incentive?

Answer: An incentive is an additional reward linked to performance or productivity.

Q3. What are fringe benefits?

Answer: Fringe benefits are indirect benefits and services provided in addition to salary or wages.

Q4. What is employee separation?

Answer: It is the ending of the employment relationship between employee and organization.

Q5. What is VRS?

Answer: VRS is voluntary early retirement offered to eligible employees with specified benefits.

Q6. What is suspension?

Answer: Suspension temporarily stops an employee from performing duties, generally pending inquiry.

Q7. Define discipline.

Answer: Discipline means orderly behaviour and compliance with organizational rules.

Q8. Define grievance.

Answer: A grievance is employee dissatisfaction relating to employment.

☒ **5 MARKS QUESTIONS - SHORT NOTES**

Q1. Explain objectives of compensation.

Introduction: Compensation management balances employee reward with organizational cost.

1. Attract: Bring qualified candidates.
2. Retain: Keep capable employees.
3. Motivate: Reward desired performance.
4. Equity: Ensure fair internal and market pay.
5. Control: Maintain legal compliance and labour cost.

Conclusion: Sound compensation supports both satisfaction and performance.

Q2. Explain financial and non-financial incentives.

Introduction: Incentives are extra rewards linked with contribution.

1. Financial: Bonus, commission, profit sharing and stock options.
2. Recognition: Praise, awards and status.
3. Growth: Promotion and learning opportunity.
4. Job Design: Autonomy and job enrichment.
5. Participation: Employee involvement in decisions.

Conclusion: A balanced reward mix produces stronger motivation.

Q3. Explain the grievance procedure.

Introduction: A formal process ensures that employee complaints are resolved fairly.

1. Supervisor: Employee first raises the issue locally.
 2. HR Review: Facts are investigated.
 3. Committee: Unresolved grievance moves to a higher level.
 4. Appeal: Employee may use appeal or arbitration.
 5. Follow-up: Decision is implemented and monitored.
- Conclusion: The procedure should be simple, confidential and time-bound.

☑ 10/15 MARKS QUESTIONS - DETAILED ANSWERS

◆ Q1. Explain compensation management, its objectives and process.

Introduction: Compensation is a major factor in attracting, motivating and retaining employees and is also a major organizational cost.

Definition: Compensation management designs and administers fair, competitive and affordable employee rewards.

■ Answer Diagram

Job Analysis → Job Evaluation → Market Survey
→ Pay Structure → Incentives and Benefits → Review

1. Objectives
Attract, retain, motivate, ensure equity, comply with law and control cost.
2. Compensation Philosophy
Decide the organization's pay position and principles.
3. Job Analysis
Understand duties and requirements.
4. Job Evaluation
Determine relative internal value of jobs.
5. Market Survey
Compare external salary levels.
6. Pay Structure
Create grades and salary ranges.
7. Incentives and Benefits
Reward performance and provide security.
8. Communication
Explain the system clearly.
9. Review
Check fairness, competitiveness, cost and effectiveness.

Example: A company may offer fixed salary, performance bonus, health insurance and learning opportunities.

Conclusion: A good compensation system balances employee expectations, market conditions and ability to pay.

◆ Q2. Explain forms of employee separation.

Introduction: Employee separation may be voluntary or employer-initiated and should be handled fairly and legally.

Definition: Employee separation is the ending of the employment relationship.

1. Resignation
Employee voluntarily leaves.
2. Retirement
Employment ends at retirement age or condition.
3. VRS
Employee accepts voluntary early-retirement benefits.
4. Termination
Employer ends employment according to contract or policy.
5. Dismissal
Employment ends as punishment for serious misconduct.
6. Layoff
Temporary inability to provide work.
7. Retrenchment
Employment ends because workforce is surplus.
8. End of Contract
Fixed-term employment ends after agreed period.
9. Exit Management
Final settlement, records, knowledge transfer and exit interview.

Example: During restructuring, an organization may offer VRS before compulsory workforce reduction.

Conclusion: Fair separation protects employee dignity and organizational reputation.

◆ Q3. Explain employee grievance and grievance redressal procedure.

Introduction: Unresolved employee dissatisfaction can reduce morale and create conflict. A formal procedure provides a fair solution.

Definition: A grievance is an employee complaint or feeling of dissatisfaction related to employment.

1. Causes
Pay, workload, supervisor behaviour, promotion, leave, safety and unfair treatment.
2. Supervisor Level
Employee first raises the grievance with the immediate supervisor.
3. Department or HR Level
Facts are investigated and discussed.
4. Committee Level
Unresolved cases are reviewed by a committee or senior manager.
5. Appeal or Arbitration
A higher review is available where applicable.
6. Principles
Confidentiality, time limit, fairness, written record and no retaliation.

7. Follow-up

Confirm implementation and remove the root cause.

Example: An employee complaining about unfair shift allocation may first approach the supervisor and then HR.

Conclusion: An effective grievance system strengthens trust and employee relations.

★ HIGH PROBABILITY QUESTIONS

1. Compensation meaning, objectives and process.
2. Factors affecting compensation.
3. Salary components.
4. Financial and non-financial incentives.
5. Fringe benefits.
6. Current compensation trends.
7. Forms of separation.
8. VRS and golden handshake.
9. Discipline and disciplinary principles.
10. Grievance and redressal procedure.

■ UNIT 5 - HRIS, HR ACCOUNTING, HR AUDIT AND EMERGING TRENDS

1 Human Resource Information System

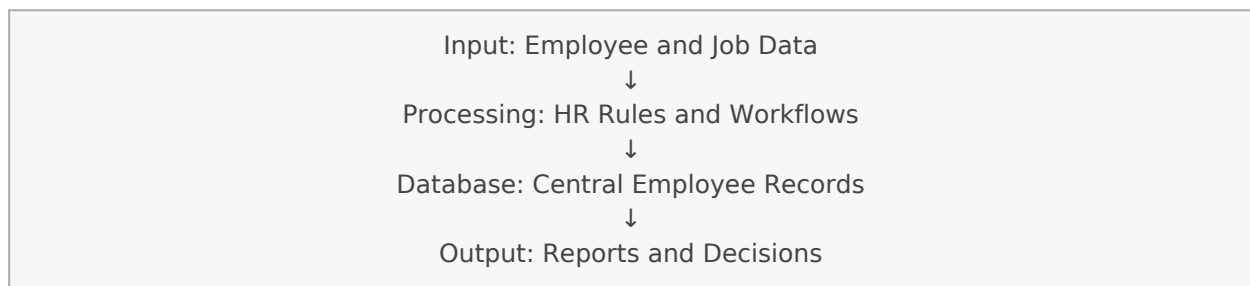
✓ Definition

Human Resource Information System (HRIS) is an integrated system of HR data, processes and technology used to collect, store, process and report employee information.

📖 Simple Meaning:

HRIS = HR Data + HR Process + Technology.

■ HRIS Structure



2 Need and Objectives of HRIS

- Centralized and accurate employee records.
- Faster HR transactions.
- Reduced paperwork and duplication.
- Support payroll, attendance and benefits.
- Better reporting and compliance.
- Employee and manager self-service.
- Support HR planning and analytics.
- Improved transparency and data consistency.

3 Major HRIS Modules

Module	Uses
Employee Database	Personal, job and service records
Recruitment / ATS	Vacancies, applications and hiring
Onboarding	Documents and joining tasks
Time and Attendance	Leave, shift and attendance
Payroll	Salary, deductions and payslips
Performance	Goals and reviews
Learning	Courses and training history

Module	Uses
Compensation	Salary review and incentives
Talent and Succession	Skills and successor pool
Analytics	Headcount, turnover and cost reports

4 Advantages and Limitations of HRIS

Advantages	Limitations
Faster processing	Implementation cost
Accurate records	Poor data quality risk
Less paperwork	Privacy and security risk
Better reports	Employee resistance
Self-service	Need for training
Integrated HR process	Dependence on technology

5 HRIS Implementation Process

1. Define HR and business requirements.
2. Map existing processes.
3. Select suitable system and vendor.
4. Clean and migrate data.
5. Configure modules and workflows.
6. Test system, reports and security.
7. Train users and manage change.
8. Go live and provide support.
9. Review adoption and benefits.

★ Trick to Remember: R-P-S-D-C-T-T-G-R = Requirements, Process, Select, Data, Configure, Test, Train, Go-live, Review.

6 E-HRM

E-HRM is the use of web-based and digital technology to deliver HR policies, services and employee interactions.

Level	Examples
Operational	Payroll, leave and employee records
Relational	E-recruitment, e-learning and performance
Transformational	Talent strategy, analytics and change

7 Human Resource Accounting

✓ Definition

Human Resource Accounting (HRA) is the process of identifying, measuring and reporting investment in and value of human resources.

☞ Simple Meaning: It shows that money spent on people can be an investment, not only an expense.

✓ Objectives

- Provide information about investment in employees.
- Support recruitment and training decisions.
- Measure changes in employee value.
- Improve HR planning and control.
- Focus management attention on human capability.

8 Methods of Human Resource Accounting

Method	Basic Idea
Historical Cost	Actual recruitment, selection and training cost
Replacement Cost	Cost of replacing existing employees
Opportunity Cost	Value of best alternative internal use
Present Value of Future Earnings	Present value of expected future earnings
Economic Value	Expected future contribution of employees

★ Trick to Remember: H-R-O-P-E = Historical, Replacement, Opportunity, Present value, Economic value.

9 Advantages and Limitations of HRA

Advantages	Limitations
Highlights value of people	No universally accepted method
Supports HR investment decisions	Human value is difficult to measure
Encourages long-term development	Assumptions may be subjective
Helps planning and control	Future performance is uncertain

10 Human Resource Audit

✓ Definition

HR Audit is a systematic examination of HR policies, practices, records, systems and results to check compliance and effectiveness.

☞ Simple Meaning: HR audit checks whether HR is doing the right things correctly.

✓ Objectives

- Check legal and policy compliance.
 - Evaluate HR effectiveness.
 - Identify gaps, risk and duplication.
 - Improve HR policies and procedures.
 - Align HR with business strategy.
 - Improve records and accountability.
-

11 Scope and Process of HR Audit

✓ Scope

- HR strategy and organization.
- Recruitment and selection.
- Training and performance.
- Compensation and benefits.
- Employee relations and grievance.
- Compliance and records.
- HRIS and data security.
- Health, safety and separation.

✓ Process

1. Define objectives and scope.
2. Prepare standards and checklist.
3. Collect documents and data.
4. Interview HR and line managers.
5. Compare practice with standards.
6. Identify gaps and risks.
7. Prepare report and recommendations.
8. Implement corrective action.
9. Follow up.

★ Trick to Remember: P-E-E-R-A-F = Plan, Evidence, Evaluate, Report, Action, Follow-up.

12 HR Shared Services

HR Shared Services centralize common HR transactions so that many business units receive standardized and efficient service.

📖 Simple Example: One central team handles employee letters, leave queries, payroll support and records for the whole company.

■ Modern HR Operating Model

HR Business Partners - Business Support
Centres of Expertise - Specialist Policy
Shared Services - Common Transactions
Employee Self-Service - Digital Access

✓ **Benefits**

- Lower duplication and cost.
- Standard processes.
- Faster and consistent service.
- Better use of technology.
- HR specialists can focus on strategy.

✓ **Issues**

- Resistance from local units.
- Loss of personal touch.
- Unclear responsibilities.
- Technology problems.
- Service-quality concerns.

13 Emerging Trends in HRM

Trend	Simple Explanation
HR Analytics	Use employee data for better decisions
Artificial Intelligence	Use AI for sourcing, chatbots and learning recommendations
Remote and Hybrid Work	Manage employees working from different locations
Gig Workforce	Use temporary, freelance and platform workers
Employee Experience	Improve employee journey from hiring to exit
Diversity and Inclusion	Ensure fair opportunity and belonging
Green HRM	Use HR practices to support environmental goals
Employee Well-being	Support physical, mental and financial health
Continuous Learning	Regular reskilling and upskilling
Employer Branding	Build a strong image as an employer

14 HR Analytics

HR Analytics is the use of employee data and analysis to improve HR and business decisions.

■ **HR Analytics Flow**



✓ Examples of HR Metrics

- Headcount.
- Time to hire.
- Cost per hire.
- Employee turnover.
- Absenteeism.
- Training effectiveness.
- Engagement.
- Internal promotion.

Important: HR data must be accurate, secure, fair and interpreted with human judgment.

■ QUICK REVISION TABLE

Topic	Key Point
HRIS	HR data + process + technology
E-HRM	Digital delivery of HR services
HRA	Measure investment in and value of people
HR Audit	Check compliance and effectiveness
Shared Services	Centralize common HR transactions
HR Analytics	Use employee data for decisions
Modern Trends	AI, hybrid work, gig work, well-being and Green HRM

☑ 2 MARKS QUESTIONS - VERY SHORT ANSWERS

Q1. Define HRIS.

Answer: HRIS is an integrated system of HR data, processes and technology used for HR records and decisions.

Q2. What is E-HRM?

Answer: E-HRM is the use of web-based technology to deliver HR policies and services.

Q3. Define Human Resource Accounting.

Answer: HRA identifies, measures and reports investment in and value of human resources.

Q4. What is HR audit?

Answer: HR audit is a systematic examination of HR policies, practices, records and results.

Q5. What are HR shared services?

Answer: They are centralized HR services that handle common transactions for many business units.

Q6. What is HR analytics?

Answer: HR analytics uses employee data to improve HR and business decisions.

Q7. State two advantages of HRIS.

Answer: Faster processing and accurate centralized records.

Q8. State two emerging HR trends.

Answer: Artificial intelligence in HR and remote or hybrid work.

☒ **5 MARKS QUESTIONS - SHORT NOTES**

Q1. Explain advantages and limitations of HRIS.

Introduction: HRIS improves speed, accuracy and availability of HR information.

1. Speed: Automates routine transactions.
2. Accuracy: Creates central and consistent records.
3. Self-Service: Employees access leave, profile and payslips.
4. Cost and Change: Implementation needs investment and training.
5. Risk: Poor data, privacy and security must be controlled.

Conclusion: HRIS succeeds when technology, data and users are managed together.

Q2. Explain methods of HRA.

Introduction: HRA uses different approaches to estimate investment in or value of employees.

1. Historical Cost: Actual recruitment and training cost.
2. Replacement Cost: Cost to replace employees.
3. Opportunity Cost: Value of alternative internal use.
4. Present Value: Discounted future earnings.
5. Economic Value: Expected future contribution.

Conclusion: HRA values are useful estimates, not exact human worth.

Q3. Explain benefits and issues of HR shared services.

Introduction: Shared services centralize common HR transactions.

1. Standardization: Same process across units.

2. Cost: Reduces duplication.
 3. Service: Improves speed and consistency.
 4. Technology: Uses common systems and self-service.
 5. Issues: May reduce local touch and face resistance.
- Conclusion: Clear roles and service standards are necessary for success.

☑ 10/15 MARKS QUESTIONS - DETAILED ANSWERS

◆ Q1. Explain HRIS, its need, uses, advantages and limitations.

Introduction: Organizations require accurate and timely employee information for administration and decision making.

Definition: HRIS is an integrated system of HR data, processes and technology.

▣ Answer Diagram

Employee Data → HRIS Database → Processing
→ Reports, Self-Service and Decisions

1. Need
Central records, faster transactions, compliance and decision support.
2. Employee Database
Stores personal, job and service data.
3. Recruitment and Onboarding
Manages applications and joining tasks.
4. Attendance and Payroll
Processes time, leave, salary and deductions.
5. Performance and Learning
Supports goals, reviews, courses and training history.
6. Analytics
Produces headcount, turnover and cost reports.
7. Advantages
Speed, accuracy, less paperwork, self-service and integration.
8. Limitations
Cost, data quality, privacy risk, resistance and technology dependence.
9. Implementation
Requirements, process mapping, selection, data migration, testing, training and review.

Example: An employee can apply leave, download a payslip and update personal details through self-service.

Conclusion: HRIS creates value when accurate data, secure systems and user adoption are combined.

◆ Q2. Explain Human Resource Accounting and its methods.

Introduction: Traditional accounting records physical and financial assets but often does not show investment in people.

Definition: HRA is the process of identifying, measuring and reporting investment in and value of human resources.

1. Objectives
Support HR investment, planning and management attention to people.
2. Historical Cost
Uses actual recruitment, training and development cost.
3. Replacement Cost
Estimates the cost of replacing existing talent.
4. Opportunity Cost
Uses value of best alternative internal use.
5. Present Value
Discounts expected future earnings or benefits.
6. Economic Value
Estimates expected future employee contribution.
7. Advantages
Highlights human value and supports long-term decisions.
8. Limitations
No universal method, uncertainty and subjective assumptions.

Example: A company may compare the cost of replacing experienced engineers with the cost of retaining them.

Conclusion: HRA is useful as supplementary management information, not as a perfect measure of human worth.

◆ Q3. Explain HR audit and its process.

Introduction: HR policies and systems should be regularly checked for compliance, efficiency and strategic value.

Definition: HR audit is a systematic examination of HR policies, practices, records, systems and results.

■ Answer Diagram

Plan → Collect Evidence → Evaluate → Report
→ Corrective Action → Follow-up

1. Objectives and Scope
Decide which HR areas and standards will be checked.
2. Audit Plan
Prepare checklist, responsibility and schedule.
3. Evidence Collection
Review documents, data, interviews and employee feedback.
4. Evaluation
Compare actual practice with law, policy and benchmark.
5. Risk Identification
Classify gaps according to seriousness.

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6. Report
Present strengths, findings and recommendations.
 7. Corrective Action
Assign responsibility and deadline.
 8. Follow-up
Verify improvement and closure.

Example: An audit may identify missing job descriptions, inconsistent appraisal records or weak data access controls.

Conclusion: HR audit is a tool for continuous improvement, not only fault finding.

★ HIGH PROBABILITY QUESTIONS

1. HRIS meaning, need, modules, advantages and limitations.
2. HRIS implementation process.
3. E-HRM.
4. HRA objectives, methods, advantages and limitations.
5. HR audit objectives, scope and process.
6. HR shared services benefits and issues.
7. HR analytics.
8. Emerging trends in HRM.

★ MASTER REVISION - ALL UNITS

■ IMPORTANT DIFFERENCE TABLES

HRM vs HRD

HRM	HRD
Complete management of employees	Development part of HRM
Recruitment to separation	Training, career and development
Current and future workforce effectiveness	Capability and potential growth

Recruitment vs Selection

Recruitment	Selection
Attracts candidates	Chooses the best candidate
Positive and pool-building	Screening and evaluative
Comes first	Follows recruitment

Training vs Development

Training	Development
Current job	Future roles
Short-term and specific	Long-term and broad
Immediate performance	Future capability

Performance Appraisal vs Performance Management

Performance Appraisal	Performance Management
Periodic evaluation	Continuous process
Past-focused	Present and future-focused
Rating and decision	Goals, coaching and development

Job Enlargement vs Job Enrichment

Job Enlargement	Job Enrichment
More tasks at same level	More authority and responsibility
Horizontal expansion	Vertical expansion
Reduces monotony	Increases motivation

★ FINAL SHORTCUT SHEET

Topic	Shortcut
HRM Functions	PODC + PDCIMS

Topic	Shortcut
HRP Process	O-I-D-S-G-A-I-R
Job Analysis Methods	O-I-Q-D-T-C
Selection Process	S-A-T-I-R-M-F-O-P
Performance Process	S-C-M-M-C-D-A-F
Training Need Levels	O-T-P
Kirkpatrick Model	R-L-B-R
Harvard Outcomes	4C
Matching Model	SARD
HRA Methods	H-R-O-P-E
HR Audit	Plan-Evidence-Evaluate-Report-Action-Follow-up

◆ TOP 30 UNIVERSITY QUESTIONS

1. Define HRM and explain its objectives, scope and functions.
2. Explain nature and importance of HRM.
3. Discuss role and challenges of HR manager.
4. Differentiate Personnel Management and HRM.
5. Explain SHRM and its importance.
6. Explain Harvard and Matching Models.
7. Explain HRP and its process.
8. Explain job analysis process and methods.
9. Differentiate job description and job specification.
10. Explain job design techniques.
11. Explain recruitment sources.
12. Explain selection process and tests.
13. Differentiate recruitment and selection.
14. Explain career and succession planning.
15. Explain employee retention strategies.
16. Explain performance appraisal process and methods.
17. Discuss appraisal errors.
18. Differentiate appraisal and performance management.
19. Explain potential appraisal.
20. Explain training process and methods.
21. Differentiate training and development.
22. Explain TNA.
23. Explain Kirkpatrick Model.
24. Explain compensation objectives and process.
25. Explain incentives and fringe benefits.
26. Explain forms of separation and VRS.

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27. Explain discipline and grievance procedure.
 28. Explain HRIS and its uses.
 29. Explain HRA and its methods.
 30. Explain HR audit and HR shared services.

✓ **10/15 MARKS ANSWER WRITING FORMAT**

1. Introduction: Write 2 to 3 lines.
2. Definition: Write one clear definition.
3. Diagram: Draw a simple flow diagram.
4. Main Body: Explain 6 to 10 numbered points.
5. Example: Give one practical business example.
6. Conclusion: Write 2 lines connecting the topic with organizational effectiveness.

END OF NOTES

Revise the shortcuts, diagrams, difference tables and high-probability questions before the examination.